

EQUITY: TECHNOLOGY

1H26: flat revenue and improving gross margin

2H26F/2027F: robotics, data collection and overseas ramp drive sales growth re-acceleration

1H26: flat revenue growth, gross margin up 7.28pp, earnings down 31% on opex

Orbbec reported 1H26 results on 20 August. Total revenue was flat at CNY437.6mn (+0.5% y-y), but the mix moved decisively. Gross margin rose 7.28pp y-y to 48.55%, which the company attributes to a higher weighting of high-margin products in the sales mix. Growth came from the newer end-markets: management commented that revenue from vision solutions sold into the global robotics market more than doubled y-y and that direct overseas revenue almost doubled. In addition, the gross margin gain was fully absorbed by operating expenses. Combined selling, administrative and R&D expenses rose to 46.0% of revenue from 38.8%, with R&D up 22.2% y-y to CNY111.4mn, or 25.5% of sales, on higher R&D headcount. Government grants fell 41.7% y-y to CNY14.8mn. Net profit fell 30.8% y-y to CNY41.6mn.

2H26F/2027F: a complete product line-up across data collection and robotics drives sales growth re-acceleration

We expect sales growth to re-accelerate in 2H26F, led by robotics, data collection and overseas sales. Inventory rose 38.0%, versus end-2025, to CNY256.2mn on raw material stocking, and contract liabilities rose 36.2% to CNY24.9mn on higher customer prepayments. In addition, the vision portfolio is now complete across two target architectures: i) data collection covers four formats: EGO (egocentric vision) for first-person capture, UMI (universal manipulation interface) for handheld manipulation, WristCam for wrist-level near-field detail and Hub for synchronisation; ii) the robot range spans pure vision — monocular 2D, multi-camera 2D, stereo at interpupillary baseline and wrist stereo — alongside 3D structured light, ToF (time-of-flight) and LiDAR (light detection and ranging). In the long term, the Vietnam plant of over 100,000sqm that is due for completion in 2027E, should support a broadening revenue base, in our view.

Maintain Buy and TP of CNY130 on robotics-led mix improvement

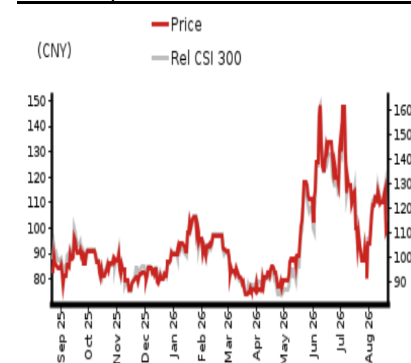
We maintain our Buy rating and TP of CNY130, as we believe 2H26F/2027F sales growth will re-accelerate with a better product mix. Factoring in the softening 1H26 sales growth due to soft consumer application business and increasing shares count, we revise down our 2026F/27F EPS estimates to CNY0.49/0.69 from CNY0.89/1.48. Our TP is based on 22x 2027F P/S (vs 18x 2028F P/S previously), at -0.3x SD of its historical average P/S at 25x, supported by a 2025-28F sales CAGR of 56%. The stock currently trades at 17x 2027F P/S.

Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	941	1,806	1,281	2,918	2,404	3,964	3,550
Reported net profit (mn)	128	358	203	595	285	869	432
Normalised net profit (mn)	128	358	203	595	285	869	432
FD normalised EPS	31.89c	89.18c	49.37c	1.48	69.23c	2.17	1.05
FD norm. EPS growth (%)	—	179.7	54.8	66.5	40.2	45.9	51.9
FD normalised P/E (x)	316.7	—	204.6	—	145.9	—	96.1
EV/EBITDA (x)	495.7	—	230.6	—	189.9	—	123.1
Price/book (x)	13.6	—	13.1	—	12.0	—	10.7
Dividend yield (%)	—	—	—	—	—	—	—
ROE (%)	4.4	11.3	6.6	16.4	8.6	19.9	11.7
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash	net cash	net cash

Source: Company data, Nomura estimates

Rating Remains	Buy
Target price Remains	CNY 130.00
Closing price 21 August 2026	CNY 101.00
Implied upside	+28.7%
Market Cap (USD mn)	6,204.2
ADT (USD mn)	348.3

Relative performance chart



Source: LSEG, Nomura

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Key data on Orbbec Inc

Performance

(%)	1M	3M	12M		
Absolute (CNY)	3.4	-7.8	27.8	M cap (USDmn)	6,204.2
Absolute (USD)	4.1	-6.7	36.5	Free float (%)	43.1
Rel to CSI 300	6.5	-3.9	20.7	3-mth ADT (USDmn)	348.3

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	564	941	1,281	2,404	3,550
Cost of goods sold	-329	-529	-698	-1,310	-1,903
Gross profit	236	412	583	1,094	1,647
SG&A	-386	-371	-448	-926	-1,367
Employee share expense					
Operating profit	-150	40	135	169	280
EBITDA	-97	83	178	216	332
Depreciation	-38	-31	-35	-40	-44
Amortisation	-16	-12	-8	-8	-8
EBIT	-150	40	135	169	280
Net interest expense	-36	-5	1	3	4
Associates & JCEs					
Other income	121	83	64	121	179
Earnings before tax	-65	119	200	292	462
Income tax	3	9	3	-7	-30
Net profit after tax	-63	128	203	285	432
Minority interests	0	0	0	0	0
Other items					
Preferred dividends					
Normalised NPAT	-63	128	203	285	432
Extraordinary items					
Reported NPAT	-63	128	203	285	432
Dividends					
Transfer to reserves	-63	128	203	285	432

Valuations and ratios

Reported P/E (x)	-	316.7	204.6	145.9	96.1
Normalised P/E (x)	-642.2	316.7	204.6	145.9	96.1
FD normalised P/E (x)	-	316.7	204.6	145.9	96.1
Dividend yield (%)	-	-	-	-	-
Price/cashflow (x)	-	489.8	224.3	327.8	150.2
Price/book (x)	14.1	13.6	13.1	12.0	10.7
EV/EBITDA (x)	-	495.7	230.6	189.9	123.1
EV/EBIT (x)	-	1,019.6	304.5	243.3	145.7
Gross margin (%)	41.8	43.8	45.5	45.5	46.4
EBITDA margin (%)	-17.1	8.8	13.9	9.0	9.3
EBIT margin (%)	-26.6	4.3	10.5	7.0	7.9
Net margin (%)	-11.1	13.6	15.9	11.8	12.2
Effective tax rate (%)	-	-7.4	-1.7	2.5	6.5
Dividend payout (%)	-	0.0	0.0	0.0	0.0
ROE (%)	-2.1	4.4	6.6	8.6	11.7
ROA (pretax %)	-6.1	1.5	4.7	5.4	8.0

Growth (%)

Revenue	66.7	36.2	87.7	47.7
EBITDA	-	114.3	21.2	53.5
Normalised EPS	-	54.8	40.2	51.9
Normalised FDEPS	-	54.8	40.2	51.9

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	-97	83	178	216	332
Change in working capital	-78	8	-61	-205	-208
Other operating cashflow	88	-8	68	116	152
Cashflow from operations	-86	83	185	127	276
Capital expenditure	-202	-63	-63	-63	-63
Free cashflow	-288	20	122	64	214
Reduction in investments	-372	59	0	0	0
Net acquisitions	0	0	0	0	0
Dec in other LT assets					
Inc in other LT liabilities					
Adjustments	-20	19	0	0	0
CF after investing acts	-680	98	122	64	214
Cash dividends					
Equity issue					
Debt issue	42	-76	0	0	0
Convertible debt issue					
Others	46	2	0	0	0
CF from financial acts	88	-74	0	0	0
Net cashflow	-592	24	122	64	214
Beginning cash	1,198	606	630	752	816
Ending cash	606	630	752	816	1,029
Ending net debt	-439	-502	-625	-689	-902

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	606	630	752	816	1,029
Marketable securities					
Accounts receivable	154	137	187	350	518
Inventories	220	186	245	460	668
Other current assets	449	507	507	507	507
Total current assets	1,429	1,459	1,690	2,132	2,721
LT investments	1,153	1,152	1,152	1,152	1,152
Fixed assets	338	471	499	522	541
Goodwill					
Other intangible assets	113	105	97	89	81
Other LT assets	295	226	226	226	226
Total assets	3,329	3,413	3,663	4,121	4,722
Short-term debt	168	127	127	127	127
Accounts payable	152	150	197	370	538
Other current liabilities	83	100	100	100	100
Total current liabilities	403	377	425	598	765
Long-term debt	0	0	0	0	0
Convertible debt					
Other LT liabilities	51	42	42	42	42
Total liabilities	455	419	466	639	807
Minority interest	7	17	17	17	17
Preferred stock					
Common stock	400	401	401	401	401
Retained earnings	-1,651	-1,523	-1,320	-1,035	-603
Proposed dividends					
Other equity and reserves	4,118	4,099	4,099	4,099	4,099
Total shareholders' equity	2,867	2,977	3,180	3,465	3,897
Total equity & liabilities	3,329	3,413	3,663	4,121	4,722

Liquidity (x)

Current ratio	3.55	3.87	3.98	3.57	3.56
Interest cover	-4.2	8.8	-	-	-

Leverage

Net debt/EBITDA (x)	-	net cash	net cash	net cash	net cash
Net debt/equity (%)		net cash	net cash	net cash	net cash

Per share

Reported EPS (CNY)	-15.73c	31.89c	49.37c	69.23c	1.05
Norm EPS (CNY)	-15.73c	31.89c	49.37c	69.23c	1.05
FD norm EPS (CNY)	-15.73c	31.89c	49.37c	69.23c	1.05
BVPS (CNY)	7.17	7.42	7.73	8.42	9.48
DPS (CNY)	0.00	0.00	0.00	0.00	0.00

Activity (days)

Days receivable	76.8	56.5	46.1	40.8	44.7
Days inventory	210.5	139.9	112.6	98.1	108.4
Days payable	139.2	104.2	90.7	79.1	87.3
Cash cycle	148.0	92.3	68.0	59.8	65.8

Source: Company data, Nomura estimates

Company profile

Orbbec Inc. designs, manufactures, and sells 3D vision sensors. The company offers structured light cameras, stereo vision cameras, TOF cameras, and camera computers, as well as development board solutions and software. Its products are used in manufacturing, healthtech, robotics, fitness, logistics, and retail and consumer industries. Orbbec Inc. was founded in 2013 and is based in Shenzhen, China.

Valuation Methodology

Our TP of CNY130 is based on 22x 2027F P/S, at -0.3x SD of its 4-years historical average P/S at 25x, which is supported by its 2025-28F sales CAGR at 56% based on growth in biometrics, 3D printing, and robotics business. The benchmark index is CSI300.

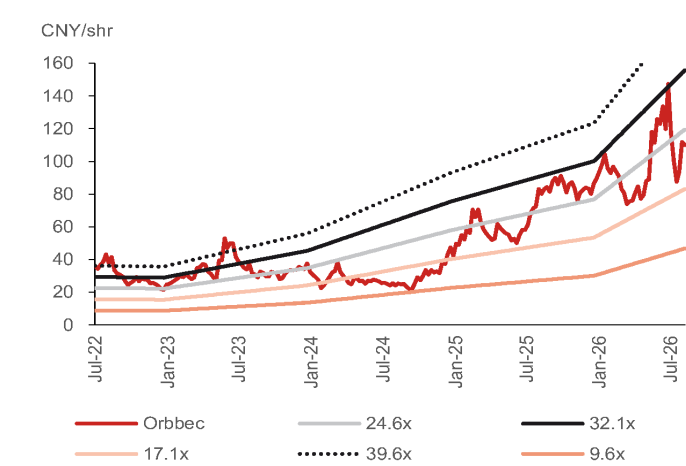
Risks that may impede the achievement of the target price

Downside risks include: 1) slower ramping-up from robotics business; 2) intensified competition, which should put pressure on its prices and market shares, and 3) softening demand in biometrics market.

ESG

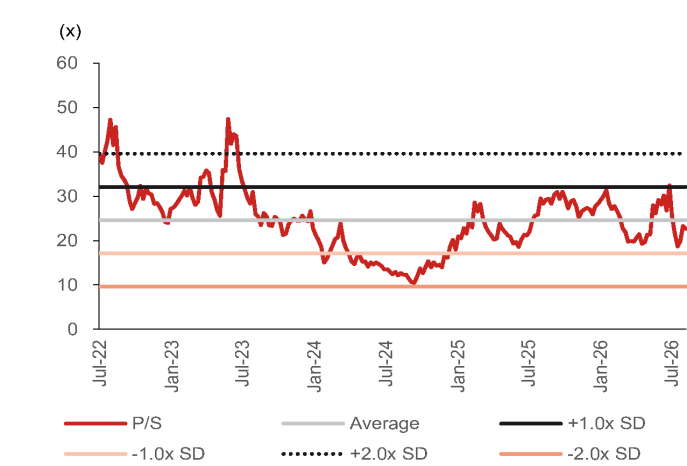
Orbbec demonstrates commitment to ESG by advancing 3D vision technologies that enable safer, more efficient autonomous robots, which contribute to environmental sustainability through improved automation and reduced resource waste. The company also focuses on developing high-performance, low-impact visual perception products that operate effectively in diverse lighting conditions, minimizing environmental light pollution and energy consumption.

Fig. 1: Orbbec – Forward P/S band



Source: Bloomberg Finance L.P., Nomura estimates

Fig. 2: Orbbec – Forward P/S with -2/+2x SD



Source: Bloomberg Finance L.P., Nomura estimates

Appendix A-1

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Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Orbbec Inc	688322 CH	CNY 101.00	21-Aug-2026	Buy	N/A	

Orbbec Inc (688322 CH)

CNY 101.00 (21-Aug-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

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As at 30 June 2026.

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